

ket. In the real economy trust evaporated. As lenders lost faith in the ability of borrowers to repay and consumers lost jobs, economic activity stalled. Mercifully, the government pushed three stimulus packages and got the RBI to expand credit availability and loosen provisioning norms to prevent a systemic crisis. Also, unlike other emerging economies, India's exports account for only about 20 per cent of the GDP. Experts estimate loss of export growth and the cascade effect dragged India down from 9 per cent GDP to about 6 per cent but growth prevails.

Thanks to the demographic dividend, India's large domestic market and recently revived rural economy insulated the economy from the perils faced by others. On the other side of a world divided by coloured bottom lines, Bharat is growing relentlessly. For the third successive year, India will have created a new record in agricultural output, having harvested 99 million tonnes of rice and 77.6 million tonnes of wheat. Output naturally results in income and demand in rural India which houses over 700 million. Bharti Airtel's 100-million mark was propelled by the 15 million phones-a-month velocity of mobile subscription growth fuelled largely by rural penetration. When Anand Mahindra, vice-chairman Mahindra & Mahindra, launched his new crossbreed sedan Xylo in Ludhiana they had to build a pandal on a maidan to fit

people. It was January when bad news hogged headline space. Pleasantly surprised Mahindra boasted at Davos that India will be out of the tunnel soon. Four months later, he sees a sustained momentum not just for the Xylo and his tractors, but for consumption across product classes "if the price points are right". It is not just automobiles, fast moving consumer goods or durables that rural markets are lapping up. A large part of the mobile telephony growth is now in peri-urban and rural areas. Indeed, Mittal believes that contrary to conventional wisdom rural India will lap up 3G phones "as it offers mobile broadband connectivity". Not surprisingly, retail chains, which earlier sought footfalls in expensive urban malls, are looking to tap latent demand in rural India.

But growth is not a permanent resident of rural India nor is demand a given. If rural India has absorbed products and afforded producers an alternative market it is thanks to pump-priming of the rural economy since 2004 by the UPA government through various schemes. For instance, it has spent Rs 1,93,715 crore since 2004 just on different schemes under rural development. The second critical factor has been the restructuring of agriculture. It is not just the farm loan waiver of Rs 65,000 crore. A combination of improved credit, seed availability and ramped up minimum support prices have made agriculture viable,

HOPE IS BACK IN BUSINESS

The worst is over. The first tender shoots of tentative revival if nurtured by the new UPA regime could convert the feelgood factor into a robust recovery.